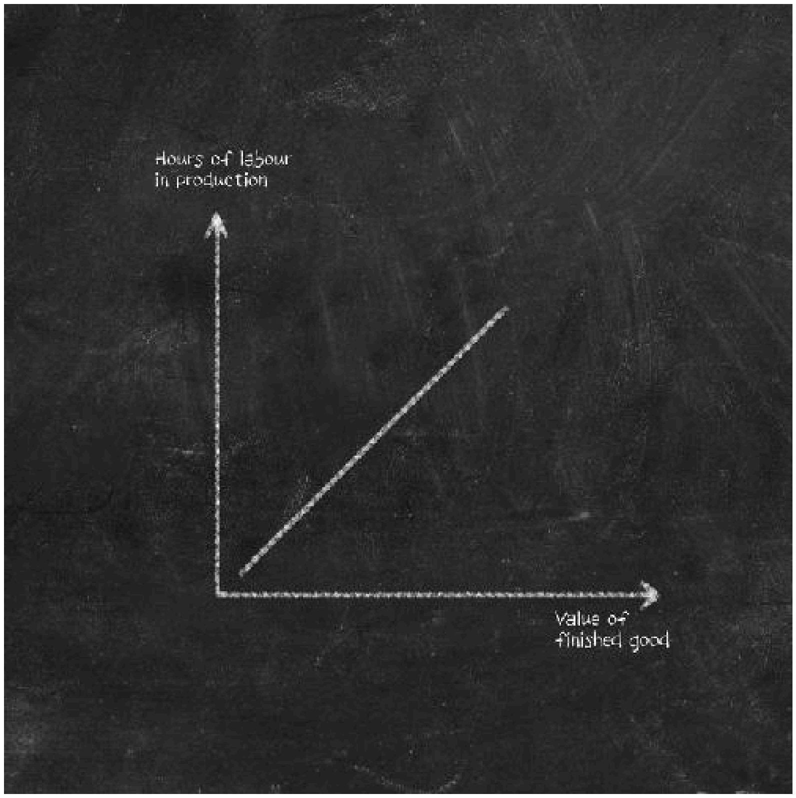
The labour theory of value



Until the 19th century, it was believed that the value of goods came from the labour used to make them: a chair that took 50 hours of labour was worth ten times as much as a stool that took five. Even the value of goods made in factories could be traced to labour. A factory-made chair is produced by machines operated by people. The machines are made by other labourers, and the iron used to make the machines is produced by still others. The labour theory of value became closely associated with Karl Marx – he asked how profits were possible if the value of goods came from labour. Marx argued that capitalists were able to exploit the workers and squeeze a surplus out of them (see Marxist economics).

From the 19th century, economists moved on from the labour theory of value. It was seen that a dress that took ten hours to make was not necessarily worth five times more than a diamond that took two hours to cut. Value was determined by people's desires, and in the market by supply and demand.